

HARBORVIEW BANCSHARES, INC.

Third Quarter 2024 Earnings Conference Call
October 22, 2024 | 9:00 AM Pacific Time

Participants:

David R. Kimura - Chairman and Chief Executive Officer

Patricia L. Nguyen - Executive Vice President and CFO

Analysts: M. Wallace (Northbrook Research), C. Fernandez (Lakeside Capital),
T. Okafor (Summit Partners), A. Bergmann (Ridgeline Securities)

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PREPARED REMARKS

Operator:

Good morning and welcome to the Harborview Bancshares Third Quarter 2024 Earnings Conference Call. All participants will be in listen-only mode. This call is being recorded. I will now turn the call over to David Kimura, Chairman and CEO.

David R. Kimura - Chairman and CEO:

Thank you. Good morning everyone and thank you for joining us. With me today is Patricia Nguyen, our CFO.

Let me start with Q3 highlights. We reported net income of \$11.8 million, or \$0.48 per diluted share. While this was below our prior year results, it reflects the difficult interest rate and competitive deposit environment we've been navigating throughout 2024.

Total assets grew to \$6.2 billion, and we generated \$134 million of net loan growth during the first nine months of 2024, which demonstrates continued demand for credit in our Pacific Northwest markets. Loan pipelines remain solid heading into Q4, and we feel good about our origination capacity.

I do want to address our net interest margin directly. Our NIM compressed to 3.44% in Q3, down from 4.18% in Q3 2023. This reflects two dynamics: first, deposit costs have repriced upward significantly as customers have shifted from low-cost checking accounts into higher-yielding money market and time deposit products. Second, fixed-rate loans originated at lower rates continue to reprice slowly.

We believe we are near the trough in our NIM. With recent Federal Reserve rate cuts, we expect deposit costs to begin declining in Q4, which should provide some relief. Patricia will give you more detail on the margin outlook.

On credit quality, we saw some normalization with nonperforming loans rising to \$41.2 million, primarily driven by three commercial real estate credits in the office sector. These are well-identified, and we believe our reserves are adequate.

Our capital ratios remain strong, with a CET1 ratio of 11.84%. We have \$28.4 million remaining on our repurchase authorization and will evaluate buyback activity opportunistically.

Patricia L. Nguyen - Executive Vice President and CFO:

Thank you, David.

Net interest income was \$51.8 million in Q3, down \$10.1 million from Q3 2023. The decline was driven by a 74 basis point compression in the net interest margin to 3.44%. Looking at the components: our asset yield was 5.78%, up slightly from Q2, while our cost of funds increased to 3.07%.

The good news is that deposit cost momentum is shifting. Our July average cost was 3.12%, August was 3.09%, and September was 3.06%. This trend gives us confidence that deposit repricing headwinds are easing. Assuming the Fed follows through on additional cuts, we expect Q4 NIM to be in the range of 3.40% to 3.50%.

On expenses, total noninterest expense was \$44.2 million in Q3, essentially flat with Q2. We remain focused on maintaining positive

operating leverage. Our efficiency ratio was 66.8% in Q3. We expect full-year 2024 noninterest expense to come in at approximately \$176 to \$178 million.

For credit, the provision was \$4.2 million in Q3. We increased our specific reserves on two office properties where we have identified additional collateral risk. Our coverage ratio - allowance to total loans - stands at 1.14%, which we believe is appropriate given our portfolio composition and economic outlook.

Our Q4 2024 outlook: net interest income of \$51 to \$54 million; noninterest income of \$12 to \$13 million; noninterest expense of \$44 to \$45 million; and net charge-offs of \$4 to \$6 million.

QUESTION AND ANSWER SESSION

Operator:

We will now begin the question and answer session. Our first question comes from Marcus Wallace at Northbrook Research.

Marcus Wallace - Northbrook Research:

Thanks. David, can you give us a bit more detail on the office CRE credits that drove the NPL increase? How large are they and what's the loss content you're assuming?

David R. Kimura - CEO:

Sure, Marcus. The three credits total approximately \$28 million in commitments. They're all located in secondary suburban office markets in the Portland area. Occupancy has declined in these properties, and we've been working with the borrowers on workout plans. We've taken specific reserves of about \$6.2 million against these credits. We don't anticipate losses beyond what's reserved, but we're continuing to monitor closely.

Marcus Wallace - Northbrook Research:

That's helpful. And Patricia, on the margin - do you expect to be back above 3.50% by mid-2025 assuming two more Fed cuts?

Patricia L. Nguyen - CFO:

Marcus, that's a reasonable assumption if the Fed delivers two additional 25 basis point cuts. Our models suggest we could see NIM recovery into the 3.50 to 3.60% range by mid-2025. But it depends on the pace of deposit repricing and loan portfolio turnover. We have about \$380 million of fixed-rate loans repricing in the next 12 months, which should help on the asset yield side.

Operator:

Our next question comes from Carlos Fernandez at Lakeside Capital.

Carlos Fernandez - Lakeside Capital:

Good morning. Can you talk about loan growth expectations for 2025? And are you seeing any pullback in borrower demand given the rate environment?

David R. Kimura - CEO:

Carlos, we've actually seen demand hold up better than expected. Our commercial banking teams are reporting healthy pipeline activity, particularly in healthcare, professional services, and owner-occupied real estate. We're targeting low to mid-single-digit loan growth for full year 2024, and expect a similar pace in 2025. We're not seeing significant pullback in demand, though we are being selective on structure and pricing.

Operator:

The next question comes from Taiwo Okafor at Summit Partners.

Taiwo Okafor - Summit Partners:

Thanks. On the deposit side, can you walk us through your mix trends? Are you still seeing the shift from DDA into interest-bearing products?

Patricia L. Nguyen - CFO:

Taiwo, yes, we've seen DDA as a percentage of total deposits decline from about 22% a year ago to around 19% currently. That trend appears to be stabilizing. We're not seeing the same pace of outflows from checking that we experienced in 2023. On the CD

side, we have about \$1.1 billion repricing in the next six months at an average cost of 4.82%. We expect to replace most of those at lower rates as they mature, which will be a meaningful tailwind for deposit costs.

Operator:

Our final question comes from Anna Bergmann at Ridgeline Securities.

Anna Bergmann - Ridgeline Securities:

Hi, thanks for taking my question. On capital allocation - with the buyback remaining at \$28 million, how are you thinking about that versus potential M&A activity?

David R. Kimura - CEO:

Anna, we look at this regularly with our Board. Our primary capital use is supporting organic loan growth. On M&A, we do have a relationship-based culture and there could be strategic opportunities to add talent or enter adjacent markets, but we are very selective. At current valuation levels, buybacks represent good value for shareholders, and we'll be more active if the stock remains at these levels. We're not looking at any transactions that would be dilutive to tangible book value.

Operator:

That concludes our question and answer session. I'll turn the call back to Mr. Kimura for closing remarks.

David R. Kimura - CEO:

Thank you all for joining us this morning. While Q3 results were below our historical norms, we believe we are positioned well as the rate environment becomes more favorable. Our credit quality, capital position, and core franchise remain strong. We look forward to updating you on our fourth quarter progress. Have a great day.

Operator:

This concludes today's conference call. Thank you for participating. You may now disconnect.

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